

quarter of last year, Apple sold 7.3 million iPads. The average street forecast for iPad sales this year is 29.5 million units. All they have done is take fourth-quarter sales of last year and annualize them. What they are failing to take into account is that Apple has revolutionized an existing product that was already way ahead of any competitor. Not only is it a much better product, but Steve Jobs decided to price it competitively instead of at a premium. Given Apple's economies of scale, no one else can even possibly compete. So we think they will sell 40 million iPads this year and 60 million next year. The street's forecast for next year is 40 million. It is not rocket science; it is just common sense.

Everything we have talked about has involved fundamental analysis. Does that imply that you don't use technical analysis at all?

Oh, no. Charts are very important. Once I have done the fundamental work and decided to buy a stock, I will first look at the chart before putting on a position. If the stock is very overbought, it won't stop me from buying, but I will start with a small position because there is a larger chance of a correction. If instead I put on the entire position and then the stock had a large correction, I would feel terrible. Say I really like a company and want to put 10 percent of the portfolio in it. If the stock is extremely overbought, then I might start with only a 1 percent position. If the stock just keeps on going up, then I am happy that I bought at least some. I will also be more willing to buy more because I bought part of the position at a lower price. Whereas, if I didn't initially buy anything because the stock was overbought, I would then never buy any of it, which would be a dreadful mistake.

Equally important, if I decide to buy a stock based on fundamentals and then look at the chart and see that it has massively underperformed relative to the market, I will check who has been selling the stock. Such price weakness might indicate that all our fundamental research is worthless because management has lied to us. I also use charts as an aid to adding to positions. If I am bullish on a stock but don't have a full position, and then the stock breaks out on the chart, I will then go to a full position because the breakout confirms that the market is now seeing the same thing I am seeing.